

2-9-24

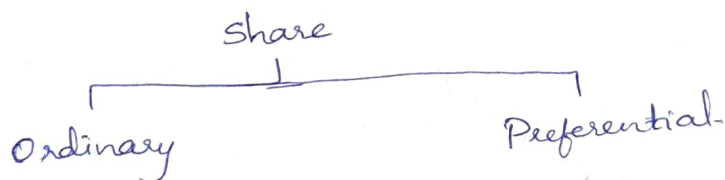
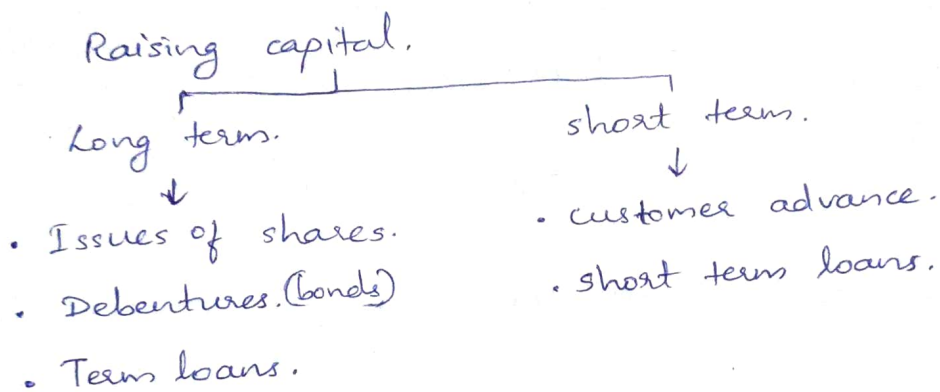
I.M - 3

Raashid Sir

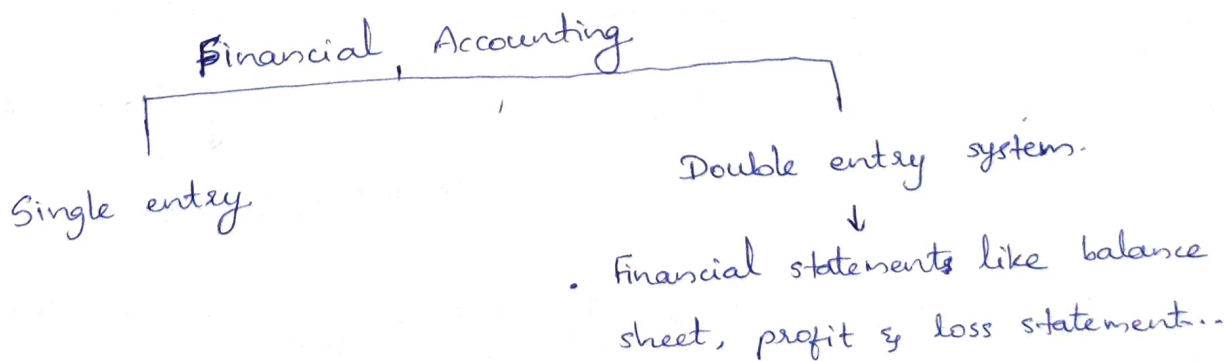
Financial Management.

It is the accusation & allocation of fund.

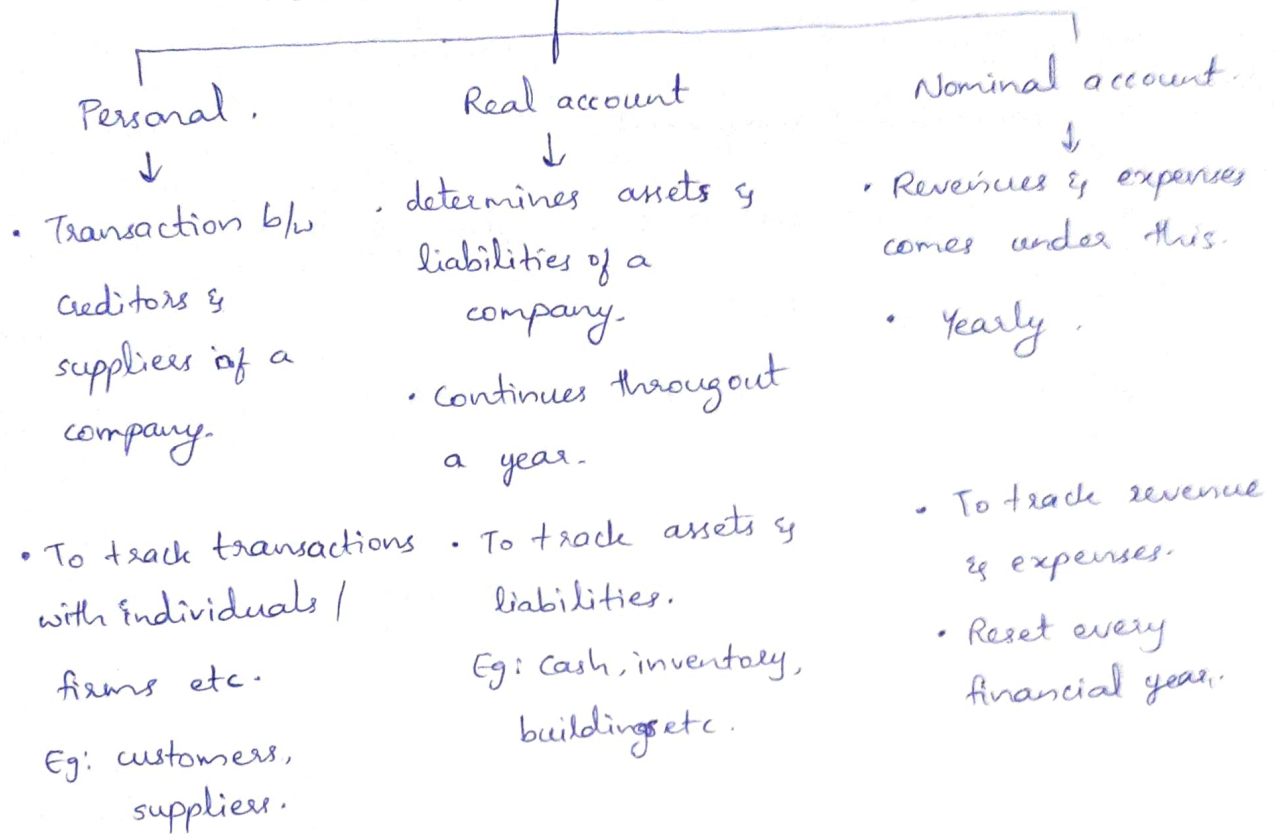
- Planning & control.
- Determination of capital requirement.
- Raising capital.
- Allocation of raised capital.
- Determine dividend payout ratio.



⇒ Term loan : eg:- long term housing loan.

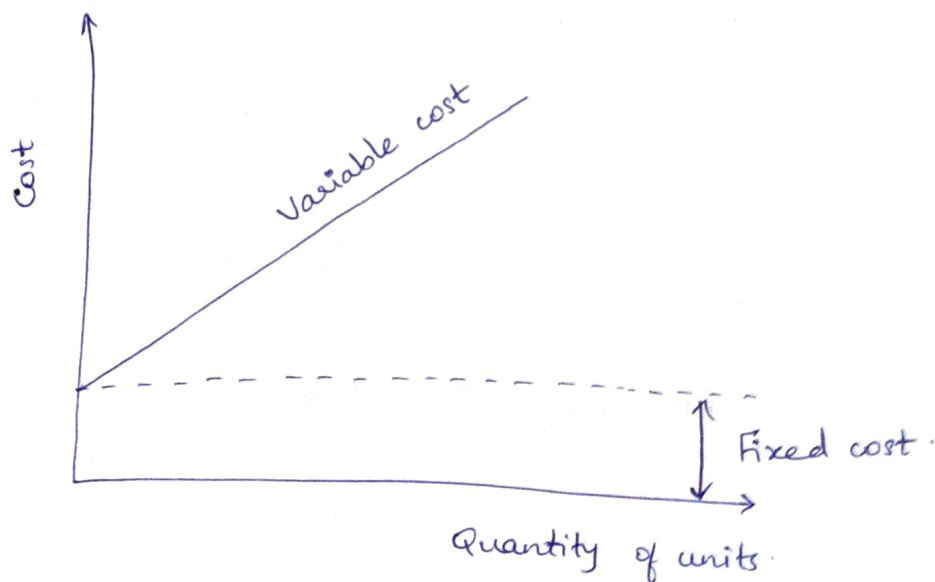


Types of accounts.



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Cost $\Rightarrow$ Fixed & Variable.



- $\rightarrow$ Standard costing $\Rightarrow$ both fixed & variable cost are considered while setting standards.
- $\rightarrow$ Marginal costing $\Rightarrow$ only variable cost is considered.

Standard costing

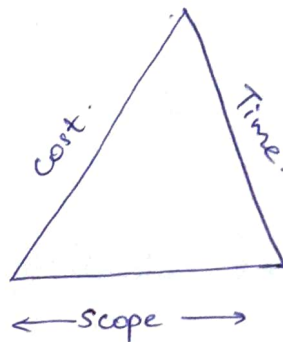
- Both fixed & variable cost considered.
- Long term planning
- Based on technical estimates.
- Mass production.

Marginal costing

- Only variable cost is considered.
- Short term planning.
- Suitable for dynamic industry

Project Management

Project $\Rightarrow$ function of scope, cost, time.



Project identification:

Sources of project ideas

- i). Internal sources. $\Rightarrow$ Brainstorming, R&D, performance data.
- ii). External sources.
- iii). By problem identification.
- iv). By collaboration.
- v). Government policy changes. $\Rightarrow$ Tax incentives.
- vi). Social & economical movements.

Project lifecycle

1. Conceptualisation $\Rightarrow$ idea generation, feasibility studies, approval by higher authority...

2. Planning
3. Execution.
4. Termination.

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Project identification - steps.

1. Assessing Needs - Gaps, opportunity
2. Define projects goals - Aligned with growth, cost control, market expansion etc
3. Preliminary research.

SWOT Analysis

4. Screening - strategic alignment, viability, resource availability
5. Risk identification.
6. Priority setting
7. Stake holder consultation → Approval.

Feasibility study.

- Investigate practicality.
 - Ways of achieving objectives.
 - Likely outcome.
- 1). Economic and market analysis.
- Market forecast and trends.
 - Pricing
 - Distribution channel.
 - Substitute threat.

- Export opportunities.

2). Technical analysis.

3). Environmental impact.

4). Financial analysis.

- Pay back period.

- ROI

- NPV (Net present value).

5). Risk

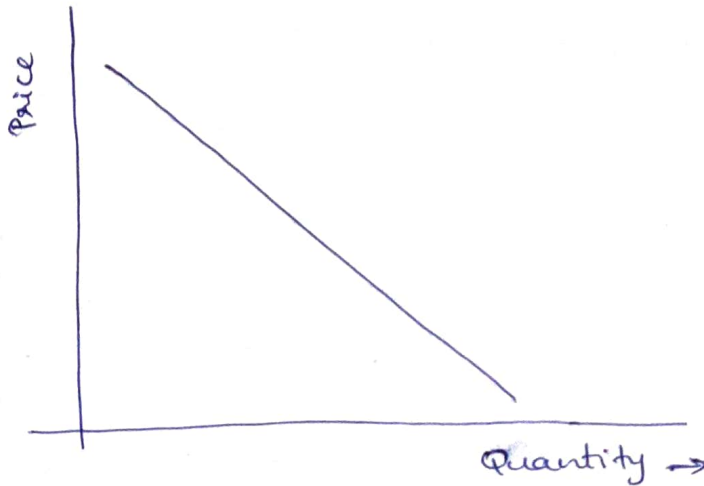
6). Economic benefits.

Principles of Economics.

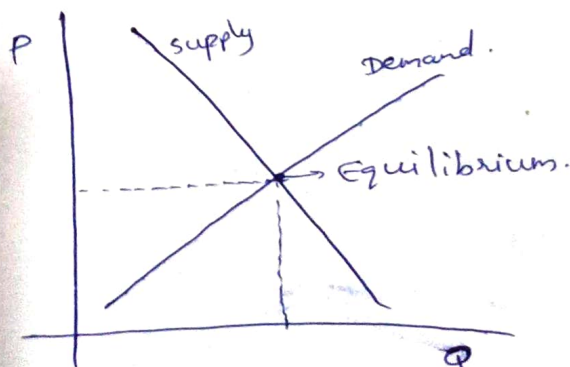
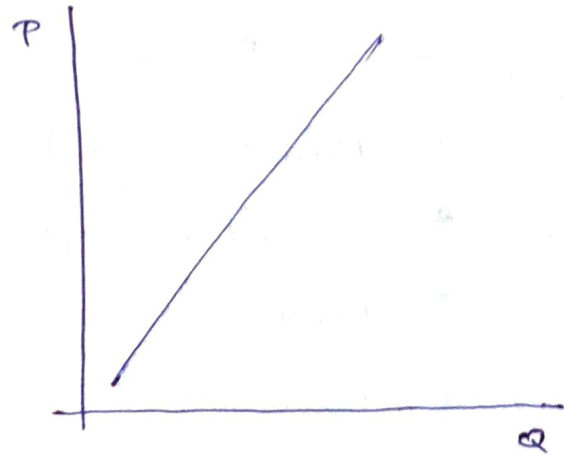
Economics $\rightarrow$ related to price.

Demand & supply

Demand curve



Supply curve



$\Leftarrow$ Supply - Demand curve

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Demand $\Rightarrow$ price at which customers are willing to pay.

Supply $\Rightarrow$ " producers "

Demand curve has negative slope.

- $\rightarrow$ Substitutional effect
- $\rightarrow$ Income effect.
- $\rightarrow$ Law of marginal utility

Utility - satisfaction level while consuming some product.

Quantity consumed.	Marginal utility.	Utility.
0	0	0
1	70	70
2	20	90
3	5	95

Quantity $\uparrow$, marginal utility $\downarrow$, utility $\uparrow$.

Marketing Management - Functions.

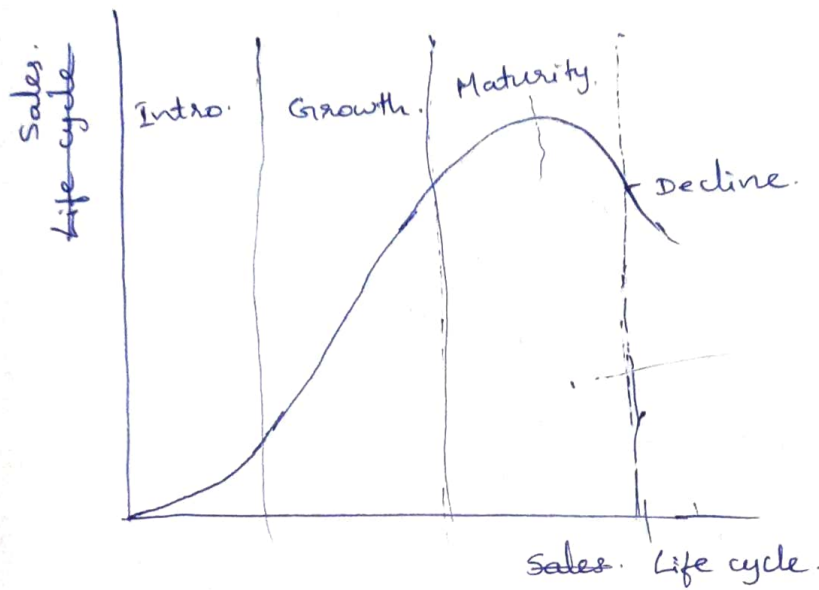
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1. Market research
2. Product development.
3. Pricing.
4. Promotion.
5. Customer relation.
7. Sales management.
 - objectives
 - $\rightarrow$ customer satisfaction.
 - $\rightarrow$ Maximising profit
 - $\rightarrow$ Brand awareness.

4 P's of Marketing

1. Product
2. Price
3. Place of distribution.
4. Promotion.

Product



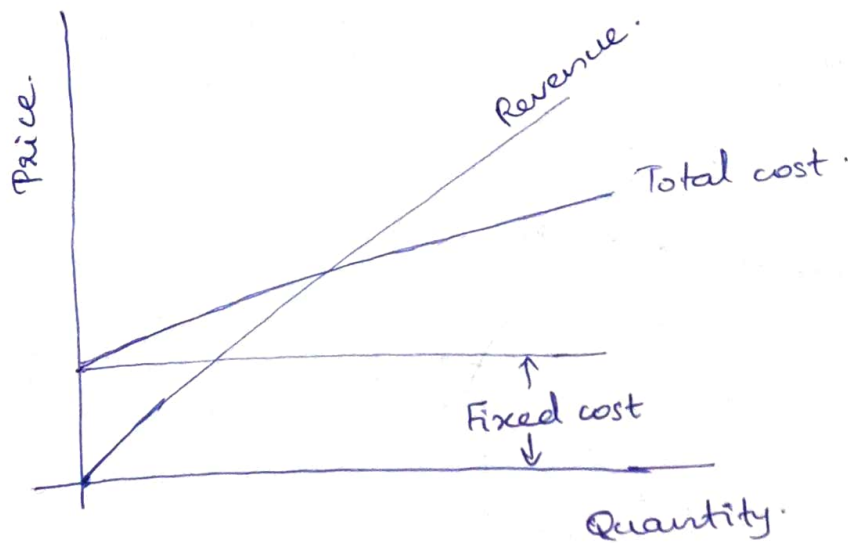
Pricing

1. Nature and extend of consumer demand.
2. Total cost of product.
3. Legal aspects.
4. General or economic conditions.
5. Distribution channel existence.
6. Type of customers.
7. Life cycle of products.

Pricing methods :

- cost plus approach.
- Demand costing.

Breakeven Analysis



$$F + (V \cdot Q) = \text{Total cost.}$$

$$\text{Revenue} = \text{selling price} \times Q$$

$$F + V \cdot Q = S.P \times Q \Rightarrow \text{condition for breakeven.}$$

$$Q = \text{Breakeven quantity.}$$

	Consumer Markets	Industrial Markets
7-10-24: Buyers - Purchase decision. - Product - Demand - No. of buyers. - Buying process.	Individuals. Personal preferences, emotions. Standardised. Influenced by price change. Large no. of small buyers.	Organisations. Organisational goals, rational decisions. Customised Influenced by consumer demand. Small no. of large buyer.

E-Marketing & Traditional marketing

Services & Marketing.

Focuses on marketing strategy ~~by~~ promotion etc.

- Intangibility
- Inseparatable.
- Perishable.
- Variability.
- People
- Process
- Physical evidence.

Services Marketing Methods.

- Relationship marketing - Loyalty programs.
- Service customisation.
- Service Guarantees.

Marketing Environment.

1). Macro - Parameters that can affect marketing strategy

2). Micro

- Company - R & D structure, culture, policies.
- Suppliers - Reliability, cost, pricing strategies.
- customers, competition.

Macro environment

- Demographic forces. - Age, gender, ethnic composition.
- Economic forces.
- Natural forces
- Technological forces.
- Political forces.

Market Segmentation.

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- Splitting broad market into small segments of consumers having common characteristics.
- Better consumer understanding.
- Improved customer satisfaction.
- Better customer knowledge → customer satisfaction.
- Resource optimisation.
- Competitive advantage.

Factors of segmentation.

1. Demographic segmentation,

- Age, gender, income, occupation, education etc.

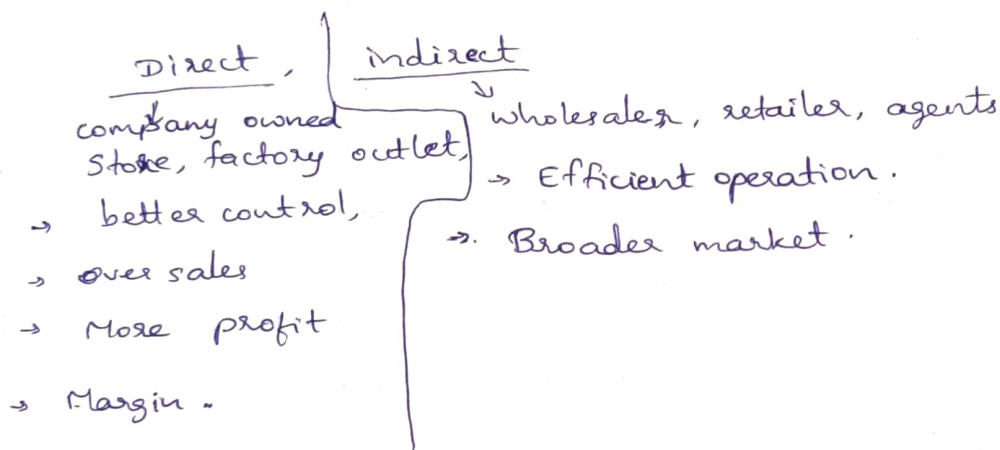
2. Geographic segmentation.

- Region, climate, urban vs rural, country, cultural difference,

- 3). Psychological segments:
 - social class, values & beliefs, lifestyle.
4. Behavioural segments (of classifying consumers).
 - Occasions, loyalty status, usage rate.

Distribution channel management.

- Bridging gap.
- Market reach.
- Efficient logistics
- Customer convenience.
- Value addition → e.g.: warranty services.
- Core activity focus.



channel structure.

- 0-level: Manufacturer - consumer.
- 1-level: Manufacturer - Retailer - consumer.
- 2-level: $M \rightarrow W \rightarrow R \rightarrow C$.
- 3-level: $M \rightarrow A \rightarrow W \rightarrow R \rightarrow C$.

IPR → Intellectual Property Right.

- To promote innovation.
- Competitive
- Good economic health.

WIPO.

Kinds of IPR

1. Patent. $\Rightarrow$ valid for 20 years after that we need to renew it.
2. Copyright. $\Rightarrow$ 50 years after death of owner.
3. Industrial designs $\Rightarrow$ Logos, smartphone & automobile designs. (have to pay royalty).
4. Trademarks $\Rightarrow$ Renewed every 10 years.

Patent.

Exclusive right granted for an invention which can be product patent or process patent that offers technical solution to a problem.

- $\rightarrow$ Upto 1995 only process patent in India & many people made the same product w/o any legal issues.

WIPO $\Rightarrow$ TRIPS $\Rightarrow$ Set of guidelines that has to be followed by countries joined in WIPO.

After 1995 India also became a part. Hence, India also started recognising product patent.

Compulsary license.

To make the product way cheaper in developing countries.

Patent criteria

- $\rightarrow$ Novelty.
- $\rightarrow$ Non-obviousness.
- $\rightarrow$ Industrial applicability

utility model
 $\downarrow$
mini patent.

1970 Indian Patent act.

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- Novelty
- Non-obviousness
- Industrial application.

Non-patentable

Section, 3, 4 - Excluded things.

1. Frivolous inventions : Contrary to natural laws, not much purpose & value.
2. Contrary to public morality: like bomb, destructive nature.
3. Discovery of scientific theories, algorithms.
4. Discovery of any living things.
5. Traditional knowledge.
6. Mathematical or business methods.

Section 4 claims;

Atomic energy related inventions are exempted from giving a patent.

Special cases.

Compulsory licensing → generally medicines & all to be made in a low cost.

Patent commercialisation.

Converting the invention into market product

- Financial return.
- Market recognition.

Stages of commercialisation.

To evaluate market potential, feasibility study

Strategies.

- Lisencing
- Manufacturing & selling.
- Assignment.
- Joint ventures.
- Startup formation.

Lisence - Exclusive, non-exclusive, cross lisencing.

Advantages of lisencing.

- Reduction in risk to patent owner.

1-24.

~~Goods sold to customer~~

Journal.

Date	Particulars.	L.F.	Debit	Credit.
Jan 1.	Cash Alc		65000	
	Furniture Alc		20,000	
	Building Alc		10,000	
	To, capital Alc.			1,8,5000
	Goods Alc		15,000.	
	'Mr. X' Alc			15,000.

Debit.

Cash Alc Ledge~~d~~ as per this Q.

<u>Debit.</u>			<u>Credit</u>		
Date	Particulars	Amount.	Date	Particulars	Amount
	Capital Alc	65,000		Purchase Alc	30,000
	Customer Alc	22,000		Electronics Alc	8000
	Mx. Y	14,000		Balance.	
		<u>101,000</u>			<u>101,000</u>
					Journal Folio No.

<u>Debit.</u>			<u>Furniture Alc ledger.</u>			<u>Debit. Credit.</u>	
Date	Particulars	Amount	Date	Particulars	Amount.		
	Capital Alc.	20,000		Balance	20,100		
		<u>20,000</u>			<u>20,000</u>		